EW INVESTORS SHOULD AVOID



hours versus driving the same vehicle on an expressway—the driving experience will never be the same. Investing is no different; while you should know how to change tack with your investments, you should also know the varying investment principles and strategies for different market conditions. Also, be aware of which instrument to stay away from. During bull runs, even experienced investors often get carried away by the noise in the markets. Do not make the mistake of changing your risk profile because of changing market conditions. By changing your risk profile in a rising market, you are exposing your investments to risks that you may not be comfortable with.

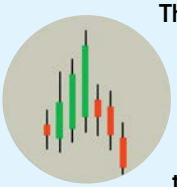
4 GETTING CARRIED AWAY WITH TRENDS

Upbeat stock markets are also times for companies to introduce IPOs (initial public offerings) and the launch of new funds. The belief that anything and everything will work in a rising market is a mistake. In a bull run, IPOs could be overpriced and there are several examples to this effect (the Paytm IPO in 2021 is one such). Unlike institutional investors who have solid research and analyst teams, small investors have limited resources to make a good choice with IPOs and new funds. Any market correction through the course of a bull run is more likely to impact a new launch than a time-tested stock or fund. Don't make the mistake of investing in trends or get carried away by initial investing success in a rising market.



5 TRADING INSTEAD OF INVESTING

Yet another common habit among investors who change their investment process is an investor who moves to becoming a trader. There is a tremendous opportunity to benefit from a bull market, but you need to be patient for that. However, investors often get carried away by the prospects of intra-day trading. Without realising it, they become traders in F&O (futures and options) derivatives instead of investing in stocks and funds. The lure of making handsome gains in the short run based on margin trading and leveraging one's portfolio ends up exposing one's investments to huge risks. Yes, a good trade can often make you more money in the short run than an investment in the same period. However, one wrong trade, especially through leverage, could hit the worth of your investments badly. You could end up losing it all. Moreover, frequent profit-booking comes with its share of tax implications and complications that can easily be avoided by remaining just an investor. Don't make the mistake of confusing trading with investing—they are very different and impact your investments.



6 NOT SELLING AT THE RIGHT TIME



This is a common mistake that even some seasoned investors commit when the markets are rising. Bull runs are not just to keep investing, it is also a period to relook one's specific investment portfolio. It is a good time to exit certain losing propositions as well as exit investments that are no longer needed. Selling at the right time is as important as buying at the right time and right price. Do not make the mistake of sitting on poor investments that are rising in the hope that they will keep on going up. Profit-booking and making partial exits with stocks and funds that are likely to be impacted the most due to corrections is a good strategy to follow. Bull runs also provide a good opportunity to revisit your asset allocation—evaluate your asset allocation and 'rebalance' to maintain the investment risk in the portfolio instead of taking on more jeopardous liabilities.

Illustrations by SIDDHANT JUMDE

a bull market, it doesn't mean everyone gets richer. One should be invested in the right stock or fund to benefit from market gains and for that you either need to spend time identifying winners or outsource the task to professional money managers with a proven track record. It is difficult to keep track of individual stocks and even entire sectors, especially with market constituents getting complicated. Likewise, it may not be possible for everyone to keep track of earnings potential, existing and anticipated competitors and its impact on the performance of the stock or the fund.

It takes skill and experience over time as an investor to ensure one's portfolio has more winners than losers even in a rising bull market. Fortunately, successful long-term investors either spend time or track their investments regularly. It pays to remain dispassionate but diligent when investing. The trick is not to let emotions dictate you and stay invested for the long run and let bull runs help your investments gain value, even as you use the bear phases to look for opportunities that would shoot up sharply. ■